Enrollment No.: _____

Darshan UNIVERSITY

Darshan Institute of Engineering& Technology
B.Tech. | Sem-5 | Winter-2024

Course Code	:	2301MN523	**Date**	:	26-10-2024
Course Name	:	Fundamentals of Accounting	**Duration**	:	150 Minutes
			Total Marks	:	70

Instructions:
1. Attempt all the questions.
2. Figures to the right indicate maximum marks.
3. Make suitable assumptions wherever necessary.

Q.1 **(A)** Define the following terms: **4**
- (i) Stakeholders
- (ii) Intangible assets
- (iii) Insolvent
- (iv) Allowance

(B) Classify the following into various types of accounts. **3**
- (a) Outstanding wages a/c
- (b) Repairing charges a/c
- (c) Commission received a/c
- (d) Bank overdraft a/c
- (e) Trademark a/c
- (f) Bad-debt a/c

OR

Explain the golden rules of accounting with suitable examples. **3**

(C) Write a short note on branches of accounts. **7**

OR

Explain various concepts and conventions of accounting. **7**

Q.2 **(A)** Define subsidiary books. Draw the formats of any 3 subsidiary books. **4**

(B) Journalise the following transactions in the books of Gauri: **10**
- i. Gauri started business with cash ₹ 50,000, furniture ₹ 50,000 and building ₹ 1,00,000.
- ii. Purchased goods worth ₹ 1,50,000 from Tina @ 10% trade discount.
- iii. Machinery bought from Sussane for ₹ 2,00,000.
- iv. Goods sold to Sunita for ₹ 3,00,000 at 10% cash discount. 50% amount received in cash.
- v. Loan taken from SBI of ₹ 5,00,000.
- vi. Depreciation to be charged on machinery @ 10%.
- vii. Income tax paid ₹ 50,000.
- viii. Brokerage received ₹ 25,000.
- ix. Goods of ₹ 20,000 burnt by fire. Insurance company accepted the claim of 75%.
- x. Travelling charges paid ₹ 20,000.

OR

Journalize the following transactions in the books of Tarak. Also, prepare his cash account, cash discount account and purchase account. **10**

1. Tarak started business with cash ₹ 1,00,000, bank balance ₹ 1,00,000, building ₹ 2,00,000 and debtors ₹ 1,00,000.
2. Goods of ₹ 1,00,000 purchased from Daya at 10% trade discount and 10% cash discount. Full amount paid in cash.
3. Goods of ₹ 2,00,000 bought from Jetha at 10% trade discount and 20% cash discount. 50% amount paid immediately.
4. Goods of ₹ 5,00,000 sold to Sodhi at 10% trade discount and 10% cash discount. Amount received in cash.
5. Goods of ₹ 1,00,000 sold to Bhide.
6. Bhide returned goods of ₹ 50,000.
7. Bhide offered full and final payment of ₹ 45,000 and it was accepted.

Q.3 (A) Define trial balance. Discuss the objectives of preparing the trial balance. **4**

(B) "Errors in trial balance are mistakes made during the accounting process that cannot always be detected by the trial balance." – Comment. **10**

OR

The records of Pathaan & Company contains the following information relating to inventory for December 2023:

Date	Particulars	Units	Amt. ₹
01/12/23	Beginning Inventory	20	4
03/12/23	Purchase	40	5
09/12/23	Sale	10	
14/12/23	Sale	45	
19/12/23	Purchase	50	7
22/12/23	Sale	30	
26/12/23	Purchase	20	9
31/12/23	Shortage	5	

Required:
Using the periodic inventory system, compute the cost of ending inventory and cost of goods sold. Use the FIFO and LIFO inventory costing methods.

Q.4 (A) "There are 5 stages in the process of registration of an LLP." – Discuss. **4**

(B) Write a detailed note on private limited companies and public limited companies, along with its difference. **10**

OR

From the following trial balance of Yash Chopra as on 31st March, 2024, prepare trading and profit and loss account for the year ending 31st March, 2024 and balance sheet as on that date: **10**

Particular	**Debit (₹)**	**Credit (₹)**
Capital & Drawings	25,000	3,50,000
Plant & machinery	1,50,000	-
Debtors & Creditors	90,000	40,000
Returns	10,000	12,000
Discount	5,000	4,000
Commission	8,000	12,000
Interest	22,000	-

Furniture	34,000	-
Wages	48,000	-
Salaries	60,000	-
Taxes & insurance	27,000	-
Purchase & Sales	2,40,000	4,80,000
Stock (31.03.2023)	50,000	-
Carriage inward	12,000	-
Land & building	3,00,000	-
Cash	12,000	-
Bank	25,000	-
Bank loan	-	2,20,000
Total	**11,18,000**	**11,18,000**

Adjustments:

(a) Stock was valued at ₹ 46,000 as on 31st March, 2024.

(b) Wages and salaries were outstanding ₹ 5,000 and ₹ 4,000 respectively on 31st March, 2024.

(c) Depreciate Plant and Machinery at 10% and land and buildings at 5% respectively.

(d) Calculate interest on capital @ 10% p.a.

Q.5 **(A)** Provisions vs. Reserves. **4**

(B) Classify the types of expenditures of the following with appropriate reasons. **3**

(i) Wages paid to workers

(ii) Repayment of bank loan

(iii) Commission paid to agents

(iv) Promotional event expenses

(v) Purchase of a land

(vi) Interest paid on loan

OR

Give the examples of types of GST. **3**

(C) What is Balance Sheet? Show the specimen of Balance Sheet in vertical form under Companies Act, 2013 with imaginary figures. **7**

OR

What is tax? Explain the types of taxes. Differentiate direct tax and indirect tax. **7**

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